



Preston Highlands Reserve

Cary, NC

December 1st, 2025

Executive Summary

Great at driving home the point of rental demand

Preston Highlands Reserve is a **160-unit Class A build-to-rent townhome development** on a 19-acre site in Cary's prestigious Preston Highlands area. The project addresses strong **demand for luxury rental housing from affluent professionals employed in the Research Triangle Park corridor**, with direct access to I-540 providing quick commutes to RTP, RDU airport, and major tech employers like Apple, Google, and Meta. The location capitalizes on catalytic growth from nearby developments including the \$500M+ Cary Park and the successful billion-dollar Fenton mixed-use district.

The investment thesis is fundamentally driven by powerful and sustained demographic tailwinds. The Raleigh-Durham MSA is experiencing unprecedented corporate migration, directly expanding our target tenant base of high-income professionals. Major recent corporate expansions include Apple's new campus supporting 3,000 jobs, Google's ongoing hiring for its engineering hub, and Meta's data center investments. This combination of direct job creation and superior accessibility ensures a continued influx of our target demographic—tech, life sciences, and healthcare professionals with **median household incomes exceeding \$125,000**—who prioritize location and luxury but are priced out of or prefer to avoid increasingly unfavored single-family home ownership. With single-family **home prices in Cary appreciating 12% year over year** and mortgage rates remaining incredibly high, **the pool of financially qualified renters-by-choice has expanded dramatically**. Current multifamily **occupancy rates spiked 5% over the past 18 months**, confirming sustained demand that continues to outstrip supply.

The project features institutional-quality amenities, private garages, and high-end finishes targeting renters-by-choice. Capitalized at **\$67 million (\$422,000/unit)**, it benefits from a competitive land basis of \$43,750 per unit. The 7-year business plan targets stabilization before sale to an institutional investor, projecting **22.9% IRR and 3.8x equity multiple** at the project level.

The Strategic Drivers



9% OVERALL
5-YEAR POPULATION GROWTH

17%

**20-29 YEAR OLD
POPULATION GROWTH
LAST 5 YEARS**

24%

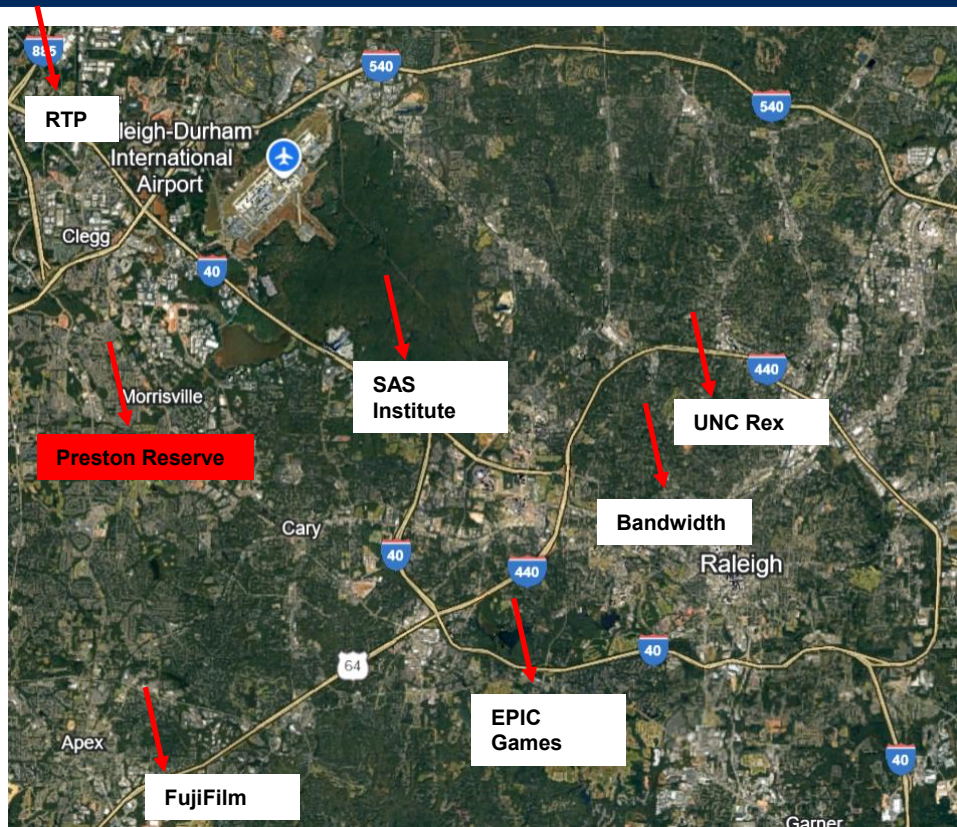
**POPULATION
GROWTH 55+**



38 Y/O
MEDIAN AGE

\$125,000
MEDIAN INCOME

Location Relative to Population and Job Growth



Strong Job Market

- 65,000 employees just in RTP
 - Apple Campus in 2026 (6k jobs)
 - FujiFilm campus largest economic development in NC history
 - Incredibly diversified in sectors
-
- Technology/IT: 35% (21,000+ jobs)
 - Pharmaceutical/Biotech: 30% (18,000+ jobs)
 - Research/Consulting: 20% (12,000+ jobs)
 - Government: 10% (6,000+ jobs)
 - Other: 5% (3,000+ jobs)

shorten to get to one line

Attractive to the Demographic

- Incredibly strong public school district
- 95% graduation rate (12% above NC average)
- Violent Crime rate of .11 / national average of .36
- Safest city in NC (per Safewise, 2024)
- 30+ miles of greenways and 35 public parks

Quick Commutes

- Newly developed I-540 highway surrounding Raliegh-Durham
- 15 minute drive to international airport
- 15 minute drive to RTP and downtown Raleigh
- 25 minute drive to Duke, 20 to NC State

Rent by Choice

Why Rent by Choice?

- Professionals, young couples, early career workers — prefer to rent rather than buy when prices are high.
- Downsizers, empty nesters — choose renting or small-footprint homes to stay flexible, avoid maintenance, or wait for market dips.

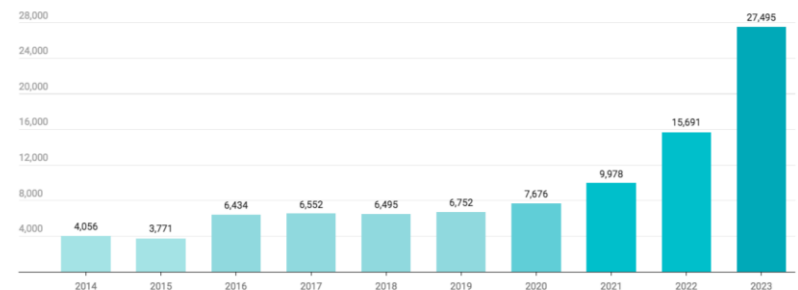
How to Capture Demand?

- Target marketing toward: **young professionals, new relocation workers, recent grads, people relocating for RTP jobs, or downsizers wanting flexibility.**
- Design smaller, efficient units (2–3 bed townhomes / condos) priced below single-family-home level but with high-end finishes — appealing to renters-by-choice who may convert to buyers.

Housing Supply is Tight

- 12% sale price growth YoY → Buying becomes expensive quickly.
- 25% more homes sold YoY → Intense competition among buyers (drives up price)
- Low inventory (3–4 months supply) → fewer homes, less chance to find affordable or starter-home options
- Median home prices (\$670,000) rising faster than median incomes (even in high-income areas) → many prospective buyers get priced out

10-Year Evolution of New Build-to-Rent Homes



*Only completed build-to-rent units.
Source: RentCafe analysis of Yardi Matrix data • Get the data • Embed • Download image • Created with Datawrapper

Risks and Mitigants

Oversupply from Multifamily Projects

Mitigant: Targeting families, downsizers, couples → not the typical apartment demographic.

Mitigant: very few purpose-built rental townhome communities in Cary because of zoning/land cost.

Mitigant: private garages, 2–3 bed layouts, neighborhood feel → reduces cross-elasticity with apartments.

Demand to Buyout Homes

Mitigant: Allow for some renters to buyout homes- with exceptions and limits

Mitigant: High construction costs and low land supply keep home prices elevated, securing BTR model

Vacancy in Multifamily Sector

Mitigant: Oversupply over multifamily apartments, but very few rentable townhome communities

Mitigant: Targeting customer that wants privacy, community, and space – vacancy in multifamily is not accurate

Underwriting Assumptions

- **Cap Rate:** Assumes an exit cap rate of 6 based upon sale and rent comps in the region. Conservative assumption, with current multifamily cap rates at 5.2, projected to drop to 4.9 by 2029
- **Interest Rate:** Floating rate (SOFR + 350 bps spread) with 36-month interest-only period
- **Average Market Rent:** ~\$2,350/month for 2-bed, ~\$2,800/month for 3-bed units
- **Annual Rent Growth:** Years 1-3: 0-3%, Years 4+: 2-3% annually
- **Operating Expenses:** ~\$1,850/unit annually
- **Leverage:** ~65% Loan-to-Cost, \$26,000,000 loan amount

Rent Comps

Well Done

	Vintage	Distance	2BED SF	2BED PRICE	2 BED P/SF	3BED SF	3BED PRICE	3BED P/SF
Ashford Townes	2022	22 mi	N/A	N/A	N/A	1650	\$2,000.00	\$1.21
Bell Apex	2012	11 mi	1170	\$1,650.00	1.41025641	1370	\$1,800.00	\$1.31
Abode at Kerr Ridge	2024	16 mi	1485	\$2,990.00	\$2.01	1770	\$3,500.00	\$1.98
Bradford Cary	2015	4.8 mi	1200	\$2,200.00	\$1.83	2000	\$3,300.00	\$1.65
My Door Communities	2023	11 mi	N/A	N/A	N/A	1980	\$2,700.00	\$1.36
AVERAGE	2019		1285	\$2,280.00	\$1.75	1754	\$2,660.00	\$1.50
Preston Highlands	2027		1800	\$2,350.00	\$1.31	2150	\$2,800.00	\$1.30

Key Metrics

Deal Summary

Location	Cary, NC
Vintage	2017
Total Units	160
Hold Period	84 Months
Rentable SF	319,500
Avg Unit Size	1,997
Occupancy	93%

Debt Summary

Loan Proceeds	\$26,000,000
Leverage (Close / Life)	0% / 65%
Rate	8.11%
Fees	1.50%
IO Period	36 Months
Maturity	12/31/2031

Returns Summary

	Peak Equity	IRR	Profit	Multiple
Unlevered Project	\$37,227,740	0.157744139	\$44,456,366	2.19x
Levered Project	\$11,849,597	0.229192537	\$33,188,045	3.80x
LP	\$10,664,637	0.20515967	\$24,741,039	3.32x
GP	\$1,184,960	0.371422237	\$8,447,006	8.13x
GP Project	\$1,184,960	0.20515967	\$2,749,004	3.32x
GP Promote	n/a	n/a	\$5,698,001	n/a

Deal Timetable

	Start		End	
Acquisition	12/1/2024	Month 0	12/31/2024	Month 0
Soft Costs	3/31/2025	Month 3	10/31/2026	Month 22
Hard Costs	7/31/2025	Month 7	6/30/2027	Month 30
Lease-up	12/31/2026	Month 24	7/31/2027	Month 31
Stabilization	12/31/2026	Month 24	1/31/2028	Month 37
Exit	12/31/2031	Month 84	12/31/2031	Month 84

Development Budget

	% Total	Total Cost	\$ / Unit
Land Purchase Price	17.58%	7,000,000	43,750
Land Mark-up	-	-	-
Closing Costs	0.63%	250,000	1,563
Acquisition Costs	18.21%	7,250,000	45,313
Permitting Fees	0.25%	100,000	625
Architect & Engineering (A&E)	1.26%	500,000	3,125
Legal	0.75%	300,000	1,875
Contingency	1.26%	500,000	3,125
Soft Costs	3.52%	1,400,000	8,750
Site Development	10.04%	4,000,000	25,000
Shell Construction	51.48%	20,500,000	128,125
FF&E	2.51%	1,000,000	6,250
Contingency	6.28%	2,500,000	15,625
Hard Costs	70.31%	28,000,000	175,000
Development Fee	2.51%	1,000,000	6,250
Additional Contingency	-	-	-
Other Development Costs	2.51%	1,000,000	6,250
Total Unlevered Costs	95%	\$37,650,000	\$235,313

Summary and Exit

	Untrended Stabilized	Month 38 Stabilized	Year 1	Year 3	Year 4	Year 5
Net Potential Rent	4,998,000	5,280,271	–	3,684,133	5,340,133	5,502,559
Concessions	(416,500)	–	–	(307,011)	(36,577)	–
Net Effective Rent	\$4,581,500	\$5,280,271	–	\$3,377,122	\$5,303,556	\$5,502,559
Vacancy Loss	(320,705)	(369,619)	–	(236,399)	(371,249)	(385,179)
Uncollectible Rent	(57,269)	(26,401)	–	(42,214)	(66,294)	(68,782)
Other Revenue	105,600	110,273	–	77,327	111,104	113,346
Total Income	\$4,309,126	\$4,994,524	–	\$3,175,836	\$4,977,117	\$5,161,944
Operating Expenses	(1,342,206)	(1,422,172)	–	(1,201,453)	(1,434,710)	(1,472,389)
NOI	\$2,966,920	\$3,572,351	–	\$1,974,383	\$3,542,406	\$3,689,555
Development Cost			(8,200,000)	(7,000,000)	–	–
Capital Reserves			–	(80,000)	(80,000)	(80,000)
Unlevered Cash Flow			(\$8,200,000)	(\$5,105,617)	\$3,462,406	\$3,609,555
Debt Service			(6,360)	(1,766,304)	(2,313,414)	(2,313,414)
Loan Funding / Payoff (net of fees)			2,287,655	7,791,980	–	–
Levered Cash Flow			(\$5,918,705)	\$920,059	\$1,148,992	\$1,296,141
Effective Rent	\$2,386	\$2,750	\$2,386	\$2,508	\$2,820	\$2,905
Effective Rent Growth				0.030415957	0.124090135	0.030415957
Occupancy	93%	93%	–	93%	93%	93%
Yield-on-Cost	0.074251226	0.089402958	0	0.049810524	0.089189242	0.092707364
NOI Margin	69%	72%	–	62%	71%	71%
DSCR			–	1.1x	2.3x	2.6x

Exit Summary

	Fwd NOI	Exit Cap	Total \$	Per Unit
Sale Proceeds	\$4,055,418	6.00%	\$67,590,304	\$ 422,439
Less: Sale Costs			(2,027,709)	
Net Sale Proceeds			\$65,562,595	
Less: Outstanding Debt		Value	(23,957,629)	
Less: Equity		Allocation	(13,587,403)	
Terminal Value Profit		81%	\$28,017,563	
Interim Cash Flow		19%	6,364,207	
Total Profit		100%	\$ 34,381,770	

Concept of the Townhomes

